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Public
18 December 2015

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Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Nitro Holdings No 1 Pty Ltd (ACN 608 022 260)

[December 2015]

1 Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Nitro Holdings No 1 Pty Ltd (ACN 608 022 260) (**Nitro**).

2 Background

The Parties - Brookfield

- 2.1 Brookfield Asset Management Inc. (**BAM**) is a global alternative asset manager focussed on property, renewable power and infrastructure assets with approximately US\$200 billion of assets under management.
- 2.2 BAM manages Brookfield Infrastructure Partners L.P. (**BIP**). BIP is a publicly traded limited partnership. Units in BIP trade on the New York Stock Exchange and the Toronto Stock Exchange.
- 2.3 In the context of this Undertaking, BIP's relevant Australian businesses are:
- (a) Brookfield Rail in Western Australia; and
 - (b) Dalrymple Bay Coal Terminal (**DBCT**) in Queensland.

The Parties – Asciano

- 2.4 Asciano is a listed Australian freight logistics business. It owns infrastructure and focusses on transport including port and rail assets. Shares in Asciano trade on the Australian Securities Exchange.
- 2.5 Asciano has three primary businesses:
- (a) Pacific National, which provides above rail haulage services across the coal, intermodal and bulk sectors;
 - (b) Patrick Terminals and Logistics, which is a national container terminal operator and provider of stevedoring services to major shipping lines at ports in Sydney, Melbourne, Brisbane and Perth, combined with an integrated landside logistics network; and
 - (c) Patrick Bulk & Automotive Port Services, which is a provider of bulk port and automotive processing services across over 40 sites in Australia and New Zealand.

The Proposed Acquisition

- 2.6 A consortium assembled by BAM, that includes BIP, proposes to acquire Asciano (**Proposed Acquisition**). Nitro Corporation is the bidder through which the consortium proposes to acquire Asciano. Nitro Corporation is an indirect wholly owned subsidiary of Nitro.
- 2.7 The Binding Offer is subject to a minimum acceptance condition that requires Nitro Corporation, together with its Associates (as defined in the Bidder's Statement) to have a Relevant Interest (as defined in sections 608 and 609 of the Corporations Act) in at least 50.1% of the fully paid ordinary shares in the capital of Asciano.

The ACCC's review

- 2.8 On 6 August 2015, the ACCC commenced its public review of the Proposed Acquisition.



- 2.9 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisition, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 50 of the Act.

The ACCC's competition concerns

- 2.10 The ACCC considered that, in the absence of the Undertaking, the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in certain markets involving the supply of above rail haulage services on Brookfield Rail's network.
- 2.11 The ACCC considers that the Proposed Acquisition would result in vertical integration between Brookfield Rail, which is a below rail operator in Western Australia, and Pacific National, which is one of the above rail operators on Brookfield Rail's network (amongst other networks). The ACCC was concerned that the vertical integration of Brookfield Rail with one of the above rail operators that uses its network would give the merged entity an incentive to provide preferential treatment to Pacific National, including by:
- (a) implementing higher access charges for Pacific National's competitors;
 - (b) implementing higher access charges for all above rail operators (including Pacific National) but engaging in accounting practices between Brookfield Rail and Pacific National to minimise the actual cost accruing to Pacific National;
 - (c) requiring higher capital charges for providing capacity to Pacific National's competitors;
 - (d) allocating a disproportionate amount of premium train paths to Pacific National;
 - (e) rejecting (or being less accommodating to) requests for new train paths or variations to existing train paths from Pacific National's competitors;
 - (f) implementing unfavourable and restrictive load tables;
 - (g) reducing track speeds under the guise of maintenance;
 - (h) using construction and maintenance timing to strategically impact the services of competitors to Pacific National;
 - (i) using operational issues like network constraints to advantage Pacific National's trains above competitors' trains; and
 - (j) facilitating Pacific National bundling below and above rail service offerings, including charging lower access charges if haulage services are acquired from Pacific National.
- 2.12 The ACCC considered that the pre-existing rail access regime in Western Australia that applies to Brookfield Rail's network could not be relied on to mitigate the competitive detriments arising from vertical integration between a monopolist and a participant in a related (competitive) market, including because the outcome of the current review of that access regime was likely to be uncertain at the time of the ACCC's decision.
- 2.13 The ACCC also considered that the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in certain markets for the supply of coal handling services at DBCT and above rail haulage services on the Goonyella coal rail system. These concerns are dealt with by a separate undertaking given by DBCT Management Pty Ltd and Nitro.

The Undertaking Remedy

- 2.14 Nitro does not consider that the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in the relevant markets for the supply of below rail access to Brookfield Rail's network, the supply of freight haulage



services between Western Australia and Australia's central and eastern states and the supply of intrastate haulage services for bulk freight within Western Australia.

- 2.15 Without admission, Nitro has offered this Undertaking to the ACCC pursuant to section 87B of the Act in order to address the ACCC's competition concerns in relation to the Proposed Acquisition.
- 2.16 Nitro is of the view that, after the Proposed Acquisition has completed, Nitro will be in a position to cause the divestiture of the Divestiture Business pursuant to this Undertaking.
- 2.17 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that would otherwise arise as a consequence of the Proposed Acquisition. This Undertaking proposes to achieve this by:
- (a) ensuring that the Divestiture Business is divested to an Approved Purchaser, thereby ensuring that Brookfield Rail's and Pacific National's respective businesses in Western Australia are not vertically integrated through common ownership;
 - (b) ensuring that the Approved Purchaser owns or has access to all the necessary related assets, personnel, transitional and other assistance and other rights to operate effectively in the markets in which the Divested Business operates on the Control Date;
 - (c) maintaining the economic viability, marketability, competitiveness and goodwill of the Divestiture Business prior to the divestiture; and
 - (d) providing for the effective oversight of Nitro's compliance with this Undertaking.

3 Commencement

- 3.1 This Undertaking comes into effect when:
- (a) this Undertaking is executed by Nitro; and
 - (b) this Undertaking so executed is accepted by the ACCC, (the **Commencement Date**).

4 Cessation of Ongoing Obligations

Withdrawal

- 4.1 This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

Revocation

- 4.2 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 4.3 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

Completion

- 4.4 Clauses 1, 2, 3, 4, 9, 11, 12, 13, 14, 15, 16 and 17 survive completion of the obligations in clauses 5, 6, 7, 8 and 10, Schedule 4 and Schedule 6.

Cessation if the Control Date does not occur

- 4.5 If the Control Date has not occurred before the date (the **Cessation Date**) that is 4 months after the Commencement Date then this Undertaking will cease to have effect on the Cessation Date.

5 Divestiture of the Divestiture Business

Divestiture

- 5.1 Following the Control Date, Nitro must, in accordance with this Undertaking, cause the divestiture of the Divestiture Business to an Approved Purchaser.
- 5.2 Following the Control Date, Nitro must cause the divestiture of the Divestiture Business by:
- (a) the sale, assignment, transfer and/or licence of all of the assets comprising the Divestiture Business to the Approved Purchaser, pursuant to the Approved Sale and Purchase Agreement and within the Initial Sale Period, otherwise clause 10 applies;
 - (b) the transfer or grant to the Approved Purchaser of all Consents pursuant to clause 5.3;
 - (c) the transfer of any Transferred Personnel required pursuant to clause 5.6;
 - (d) compliance with any Approved Technical Assistance Agreement required pursuant to clause 5.8; and
 - (e) compliance with any Approved Interim Supply Agreement required pursuant to 5.10.

Consents

- 5.3 Nitro must:
- (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the divestiture of the Divestiture Business;
 - (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
 - (c) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents;
 - (d) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents; and
 - (e) cause the entering into of an Approved Interim Supply Agreement with the Approved Purchaser, or the variation of any existing Approved Interim Supply Agreement as required by the Approved Purchaser, in relation to any goods or services that are required for the operation of the Divestiture Business which may be affected by any failure to gain a Consent.
- 5.4 If, seven Business Days before completion of the divestiture of the Divestiture Business, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Nitro must:



- (a) immediately provide to the ACCC, in writing details of the:
 - (i) Consents that have not been obtained;
 - (ii) reasons why the Consents have not been obtained; and
 - (iii) information or material required to obtain the Consents; and
- (b) continue to do everything in its power to satisfy clause 5.3 as soon as possible after the completion of the divestiture of the Divestiture Business (and until such time as clause 5.3 is satisfied).

5.5 Even if Nitro has complied with clauses 5.3 and 5.4, it remains a breach of this Undertaking if Nitro is unable to effect the divestiture of the Divestiture Business by reason of a failure to obtain Consents.

Transferred Personnel

5.6 At the option of the Approved Purchaser, Nitro must cause the transfer to the Approved Purchaser of:

- (a) all employees; and
- (b) all service providers under a contract for service;

who are employed in the business directly related to the Divestiture Business and are, in the reasonable view of the Approved Purchaser, necessary for the Approved Purchaser to maintain, operate or conduct effectively the Divestiture Business and who consent to the transfer of their employment or contract for service to the Approved Purchaser (**Transferred Personnel**).

5.7 When fulfilling its obligations under clause 5.6, Nitro must:

- (a) not directly or indirectly discourage any Transferred Personnel from any obligations to provide services to the Approved Purchaser;
- (b) effective on the date of the divestiture of the Divestiture Business, release the Transferred Personnel from any obligations to provide services to Nitro;
- (c) effective on the date of the divestiture of the Divestiture Business, release the Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Business or Unsold Business; and
- (d) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to Nitro for a period of six months after the completion of the divestiture of the Divestiture Business.

Technical Assistance

5.8 At the option of the Approved Purchaser, Nitro must cause the provision of Technical Assistance to the Approved Purchaser pursuant to an Approved Technical Assistance Agreement, subject to the Technical Assistance being:

- (a) required by the Approved Purchaser in order to operate the Divestiture Business;
- (b) provided on a transitional basis for no more than 12 months, which period is to be nominated by the Approved Purchaser, or such other period as agreed in writing with the ACCC;
- (c) provided at cost and otherwise on arm's length terms; and
- (d) approved by the ACCC pursuant to clause 6.4(a).



- 5.9 For the avoidance of doubt, any option to renew the supply of Technical Assistance exercised pursuant to the Approved Technical Assistance Agreement can only be exercised subject to the requirements of clause 5.8 being satisfied.

Interim Supply Agreements

- 5.10 At the option of the Approved Purchaser, Nitro must ensure the continuous supply of any goods or services which are the subject of any Approved Interim Supply Agreement for the period of the Approved Interim Supply Agreement in order to enable the Approved Purchaser to be a viable, effective, stand-alone, independent and long-term competitor in the relevant markets for intermodal freight business.
- 5.11 Nitro must ensure that any Approved Interim Supply Agreement:
- (a) lasts for a period of no longer than 12 months, which period is to be nominated by the Approved Purchaser, or such other period as agreed in writing with the ACCC;
 - (b) provides for the supply or re-supply of the included goods and services at cost price;
 - (c) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (d) is approved by the ACCC pursuant to clause 6.4(a).
- 5.12 For the avoidance of doubt, any option to renew the interim supply of goods or services exercised pursuant to the Approved Interim Supply Agreement can only be exercised subject to the requirements of clause 5.11 being satisfied.

6 Divestiture of the Divestiture Business to an Approved Purchaser

Divestiture only to an Approved Purchaser

- 6.1 Following the Control Date, Nitro must cause the divestiture of the Divestiture Business to an Approved Purchaser, and must not authorise the Approved Divestiture Agent to divest the Divestiture Business to a purchaser other than an Approved Purchaser.

Provision of a notice for a Proposed Purchaser

- 6.2 To seek approval for a Proposed Purchaser in accordance with clause 6.4, Nitro or the Approved Divestiture Agent must provide the ACCC with a Proposed Purchaser Notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**).
- 6.3 The Proposed Purchaser Notice must be provided to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period.

Approval of a Proposed Purchaser after the Commencement Date

- 6.4 After receiving a Proposed Purchaser Notice, the ACCC must decide whether to:
- (a) approve the person named in the Proposed Purchaser Notice as the Approved Purchaser which includes approving:
 - (i) the draft sale and purchase agreement attached to the Proposed Purchaser Notice;
 - (ii) any draft technical assistance agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clause 5.8; and



- (iii) any draft interim supply agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clauses 5.10 and 5.11; or
 - (b) not approve the person named in the Proposed Purchaser Notice as the Approved Purchaser.
- 6.5 Without limiting the ACCC's discretion, in making the decision described in clause 6.4, the factors to which the ACCC may have regard include whether the:
 - (a) draft sale and purchase agreement is consistent with this Undertaking and otherwise acceptable to the ACCC;
 - (b) Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (c) Proposed Purchaser is independent of, and has no direct or indirect interest in, Nitro;
 - (d) Proposed Purchaser is of good financial standing;
 - (e) Proposed Purchaser has an intention to maintain and operate the Divestiture Business as a going concern (which may include by integrating it into the Proposed Purchaser's existing business);
 - (f) Proposed Purchaser is able to conduct the Divestiture Business effectively; and
 - (g) divestiture of the Divestiture Business to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Divestiture Business under the ownership of the Proposed Purchaser.
- 6.6 Within 10 Business Days after receiving a Proposed Purchaser Notice, the ACCC must notify Nitro in writing of its decisions made pursuant to clause 6.4.
- 6.7 The ACCC may extend the period within which it will provide the notice described in clause 6.6 by notifying Nitro in writing of the extension within 10 Business Days after receiving the Proposed Purchaser Notice.
- 6.8 Any extension of time by the ACCC pursuant to clause 6.7 extends the Initial Sale Period by the same length of time.
- 6.9 The ACCC may revoke an Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

7 Divestiture Business Protection

Protection of the assets of the Divestiture Business

- 7.1 From the Control Date, Nitro must not sell or transfer its interest, or any assets comprising part of, or used in, the Divestiture Business (other than the sale of goods and services in the ordinary course of business) or make any Material Change, except in accordance with this Undertaking or as required to allow completion of the Proposed Acquisition.

Nitro's obligations in relation to the Divestiture Business

- 7.2 Without limiting this clause 7, from the Control Date until completion of the divestiture of the Divestiture Business, Nitro must take all steps available to it to:



- (a) ensure that the Divestiture Business is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Business at the Commencement Date;
- (b) minimise any risk of loss of competitive potential for the Divestiture Business;
- (c) ensure access to working capital and sources of credit for the Divestiture Business in a manner which is consistent with the financing of the Divestiture Business before the Commencement Date;
- (d) ensure provision of administrative and technical support for the Divestiture Business in a manner which is consistent with the operation of the Divestiture Business before the Commencement Date and in accordance with any plans established before the Commencement Date;
- (e) continue existing Agreements relating to the Divestiture Business with customers, suppliers and/or other third parties that are in place at the Commencement Date;
- (f) renew or replace upon expiry Material Contracts for the provision of goods or services to the Divestiture Business on commercial terms favourable to the Divestiture Business;
- (g) maintain the supply of those goods and services that are part of the Divestiture Business to existing customers in a manner consistent with the supply of those goods and services as at the Commencement Date;
- (h) maintain the standard of manufacture, distribution, promotion and sale of those products which form part of the Divestiture Business as at the Commencement Date; and
- (i) carry out promotion and marketing of the products which form part of the Divestiture Business in accordance with any plans established before the Commencement Date.

7.3 From the Control Date until completion of the divestiture of the Divestiture Business, Nitro will not:

- (a) terminate or vary the terms of employment or engagement of any of the Transferred Personnel, or agree to do any of those things; and
- (b) directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Divestiture Business as at the Commencement Date to any other business operated by Nitro.

Arrangements referred to in Confidential Schedule 7

7.4 Nitro and the ACCC agree to the terms of Confidential Schedule 7 in respect of the arrangements referred to therein.

Direction to personnel of Nitro

7.5 As soon as practicable after the Commencement Date, Nitro must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with the obligations of Nitro under this Undertaking.

Confidential Information

7.6 Subject to clause 7.7, Nitro must not, at any time from the Commencement Date, use or disclose any confidential information about the Divestiture Business gained through:

- (a) ownership and/or management of the Divestiture Business; or
- (b) fulfilling any obligations pursuant to this Undertaking.



- 7.7 Clause 7.6 does not apply to information that Nitro needs to use or disclose to:
- (a) comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements; or
 - (b) carry out its obligations pursuant to this Undertaking,
- provided such information is only used for that purpose and is only disclosed (within Nitro and its Related Bodies Corporate) to those officers, employees, contractors and advisers of Nitro and its Related Bodies Corporate who need to know the information to carry out the permitted purpose.

8 Independent Management of the Divestiture Business

Obligation to appoint an Approved Independent Manager

- 8.1 Nitro must appoint and maintain an Approved Independent Manager to manage the Divestiture Business, from the Control Date until the completion of the divestiture of the Divestiture Business in accordance with this Undertaking.
- 8.2 Without limiting its obligations in this Undertaking, Nitro must:
- (a) comply with and enforce the Approved Terms of Appointment of the Approved Independent Manager;
 - (b) maintain and fund the Approved Independent Manager to carry out his or her functions, including:
 - (i) indemnifying the Approved Independent Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Manager of his or her functions as the Approved Independent Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Manager;
 - (ii) ensuring that the Approved Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Independent Manager considers are required by the Divestiture Business; and
 - (iii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager; and
 - (c) not interfere with the authority of, or otherwise hinder, the Approved Independent Manager's ability to carry out his or her obligations as the Approved Independent Manager, including:
 - (i) accepting (and directing its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Independent Manager as to the control, management, financing and operations of the Divestiture Business, and for the Divestiture Business to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
 - (ii) providing access to the facilities, sites or operations of the Divestiture Business required by the Approved Independent Manager;

- (iii) providing to the Approved Independent Manager any information or documents requested by the Approved Independent Manager that he or she considers necessary for managing and operating the Divestiture Business or for reporting to or otherwise advising the ACCC;
- (iv) not requesting information or reports regarding the Divestiture Business or from the personnel of the Divestiture Business except through the Approved Independent Manager; and
- (v) not appointing the Approved Independent Manager, or having any Agreements with the Approved Independent Manager, to utilise the Approved Independent Manager's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Manager ceases to act in the role of the Approved Independent Manager.

Approval of the Approved Independent Manager

- 8.3 At least 15 Business Days before the Control Date, Nitro must provide the ACCC with a notice for a Proposed Independent Manager in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Manager Notice**).
- 8.4 After receiving the Proposed Independent Manager Notice, the ACCC must decide whether to:
- (a) approve the appointment of the person named in the Proposed Independent Manager Notice as the Approved Independent Manager which includes approving the:
 - (i) terms of appointment attached to the Proposed Independent Manager Notice; and
 - (ii) draft separation and management plan attached to the Proposed Independent Manager Notice; or
 - (b) not approve the person named in the notice as the Approved Independent Manager.
- 8.5 If clause 8.4(b) applies, the ACCC may, at its absolute discretion:
- (a) direct Nitro to submit a Proposed Independent Manager Notice that:
 - (i) names a person identified by the ACCC as the Proposed Independent Manager; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 8.5(a)(i) (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment and/or draft separation and management plan; or
 - (b) identify and approve a person as the Approved Independent Manager together with the:
 - (i) terms of appointment; and/or
 - (ii) draft separation and management plan.
- 8.6 As soon as practicable, and within two Business Days after any direction by the ACCC under clause 8.5(a), Nitro must submit a Proposed Independent Manager Notice in accordance with the direction.



- 8.7 Without limiting the ACCC's discretion, in making the decisions described in clause 8.4 or 8.5, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Manager Notice or identified by the ACCC has the qualifications and experience necessary to manage the Divestiture Business;
 - (b) person named in the Proposed Independent Manager Notice or identified by the ACCC is sufficiently independent of Nitro;
 - (c) terms of appointment and the draft separation and management plan are consistent with this Undertaking; and
 - (d) terms of appointment and the draft separation and management plan are otherwise acceptable to the ACCC.
- 8.8 Within 10 Business Days after receiving a Proposed Independent Manager Notice, the ACCC must notify Nitro in writing of its decisions and any direction made pursuant to clause 8.4 and/or 8.5.
- 8.9 The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 8.8 by notifying Nitro in writing of the extension within 10 Business Days after receiving the Proposed Independent Manager Notice.
- 8.10 If the Approved Independent Manager has not been appointed:
- (a) by the Control Date; or
 - (b) within 17 Business Days after the Approved Independent Manager resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 8.15, 8.16 or clause 8.17,
- or if the ACCC has not received a Proposed Independent Manager Notice pursuant to clause 8.18, then the provisions of clause 8.11 apply.
- 8.11 If clause 8.10 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Independent Manager;
 - (b) approve the terms of appointment of the Approved Independent Manager; and
 - (c) approve the draft separation and management plan.

Appointment of the Approved Independent Manager

- 8.12 After receiving a notice from the ACCC of its decisions pursuant to clause 8.4, 8.5(b) or 8.11, Nitro must, within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Independent Manager on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Independent Manager

- 8.13 Nitro must ensure that any proposed terms of appointment for the Approved Independent Manager include obligations on the Approved Independent Manager to:
- (a) maintain his or her independence from Nitro, apart from appointment to the role of Approved Independent Manager, including not to form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nitro for the period of his or her appointment;
 - (b) act in the best interests of the Divestiture Business at all times;



- (c) not use any confidential information gained through the management of the Divestiture Business other than for performing his or her functions as Approved Independent Manager;
- (d) manage the Divestiture Business lawfully in the ordinary course of business, having regard to the nature of the Divestiture Business;
- (e) make only those Material Changes to the Divestiture Business which have been approved by the ACCC;
- (f) operate and manage the Divestiture Business to the maximum extent practicable, in a manner which is financially and operationally separate from Nitro;
- (g) co-operate with the requests of any Approved Divestiture Agent or Approved Independent Auditor appointed pursuant to this Undertaking.
- (h) provide the following reports directly to the ACCC:
 - (i) a monthly written report regarding the implementation of and any suggested changes to the Approved Separation and Management Plan; and
 - (ii) an immediate report of any issues that arise in relation to the implementation of the Approved Separation and Management Plan or compliance with this Undertaking by any person named in this Undertaking; and
- (i) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Manager pursuant to this Undertaking.

8.14 Nitro must ensure that any proposed terms of appointment for the Approved Independent Manager provide the Approved Independent Manager with the sole authority to:

- (a) manage and operate the Divestiture Business according to the Approved Separation and Management Plan until the completion of the divestiture of the Divestiture Business;
- (b) provide any information requested by Nitro pursuant to the protocol in the Approved Separation and Management Plan;
- (c) decide whether or not to provide access and the manner of such access to competitively sensitive information relating to the Divestiture Business requested by Nitro which is not covered by the protocol in the Approved Separation and Management Plan;
- (d) renew or replace upon expiry Material Contracts for the provision of goods or services to the Divestiture Business on commercial terms favourable to the Divestiture Business;
- (e) engage, redeploy or make redundant personnel employed in the Divestiture Business as the Approved Independent Manager determines necessary; and
- (f) engage any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager.

Resignation, revocation or termination of the Approved Independent Manager

8.15 Nitro must immediately notify the ACCC in the event that the Approved Independent Manager resigns or otherwise stops acting as the Approved Independent Manager before the completion of the divestiture of the Divestiture Business.



- 8.16 The ACCC may revoke an Approved Independent Manager's status as the Approved Independent Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 8.17 The ACCC may approve any proposal by, or alternatively may direct, Nitro to terminate the appointment of the Approved Independent Manager if in the ACCC's view the Approved Independent Manager acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.
- 8.18 If clause 8.15, 8.16 or clause 8.17 applies, Nitro must provide the ACCC with a Proposed Independent Manager Notice within five Business Days after the relevant event occurs, otherwise clause 8.11 applies.

9 Independent Audit

Obligation to appoint an Approved Independent Auditor

- 9.1 Nitro must appoint and maintain an Approved Independent Auditor to audit and report upon Nitro's compliance with this Undertaking.
- 9.2 Without limiting its obligations in this Undertaking, Nitro must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor; and
 - (ii) providing and paying for any external expertise, assistance or advice reasonably required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Nitro's personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
 - (ii) providing access to the facilities, sites or operations of the Divestiture Business and Nitro's other businesses as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;

- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or having any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Approval of the Approved Independent Auditor

- 9.3 At least 15 Business Days before the Control Date, Nitro must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**).
- 9.4 After receiving a Proposed Independent Auditor Notice, the ACCC must decide whether to:
- (a) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving the:
 - (i) terms of appointment attached to the Proposed Independent Auditor Notice; and
 - (ii) draft audit plan attached to the Proposed Independent Auditor Notice; or
 - (b) not approve the person named in the notice as the Proposed Independent Auditor.
- 9.5 If clause 9.4(b) applies, the ACCC may, at its absolute discretion:
- (a) direct Nitro to submit a Proposed Independent Auditor Notice that:
 - (i) names a person identified by the ACCC as the Proposed Independent Auditor; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 9.5(a)(i) (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment and/or draft audit plan; or
 - (b) identify and approve a person as the Approved Independent Auditor together with the:
 - (i) terms of appointment; and
 - (ii) draft audit plan.
- 9.6 As soon as practicable, and within two Business Days of any direction by the ACCC under clause 9.5(a), Nitro must submit a Proposed Independent Auditor Notice in accordance with the direction.
- 9.7 Without limiting the ACCC's discretion, in making the decisions described in clause 9.4 or 9.5, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;



- (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Nitro;
 - (c) terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (d) terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.
- 9.8 Within 10 Business Days after receiving a Proposed Independent Auditor Notice, the ACCC must notify Nitro in writing of its decisions and any direction made pursuant to clause 9.4 and/or 9.5.
- 9.9 The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 9.8 by notifying Nitro in writing of the extension within 10 Business Days after receiving the Proposed Independent Auditor Notice.
- 9.10 If the Approved Independent Auditor has not been appointed:
 - (a) by the Control Date,
 - (b) within 17 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 9.19, 9.20 or 9.21,or if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 9.22, then the provisions of clause 9.11 apply.
- 9.11 If clause 9.10 applies, the ACCC at its absolute discretion may:
 - (a) identify and approve a person as the Approved Independent Auditor;
 - (b) approve the terms of appointment of the Approved Independent Auditor; and
 - (c) approve the draft audit plan.

Appointment of the Approved Independent Auditor

- 9.12 After receiving notice from the ACCC of its decisions pursuant to clause 9.4, 9.5(b) or 9.11, Nitro must, within two Business Days:
 - (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Independent Auditor

- 9.13 Nitro must ensure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
 - (a) maintain his or her independence from Nitro, apart from appointment to the role of Approved Independent Auditor, including not to form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nitro for the period of his or her appointment;
 - (b) conduct compliance auditing according to the Approved Audit Plan;
 - (c) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 9.15; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor



or in relation to compliance with this Undertaking by any person named in this Undertaking; and

- (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

9.14 Nitro must ensure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:

- (a) access the facilities, sites or operations of the Divestiture Business and Nitro's other businesses as required by the Approved Independent Auditor;
- (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
- (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

9.15 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) on:

- (a) Nitro's compliance with this Undertaking;
- (b) all of the reasons for the conclusions reached in the Audit Report;
- (c) any qualifications made by the Approved Independent Auditor in forming his or her views;
- (d) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) Nitro's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) Nitro's compliance with this Undertaking; and
- (e) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.

9.16 The Approved Independent Auditor is to provide an Audit Report to the ACCC and Nitro at the following times:

- (a) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan (**Establishment Audit**);
- (b) every month from the date of the Establishment Audit until the first month after the date on which the divestiture of the Divestiture Business is completed;
- (c) every three months after the date of provision of the last Audit Report pursuant to clause 9.16(b), until the ACCC confirms in writing to Nitro that it is satisfied that the divestiture of the Divestiture Business pursuant to clause 5 of this Undertaking has been completed; and
- (d) a final report due three months after the last report provided pursuant to clause 9.16(c).

9.17 Nitro must implement any recommendations of the Approved Independent Auditor made in the Audit Report, and notify the ACCC of the implementation of the recommendations,



within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.

- 9.18 Nitro must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

Resignation, revocation or termination of the Approved Independent Auditor

- 9.19 Nitro must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the ACCC has provided the written confirmation pursuant to clause 4.1, 4.2 or clause 4.3.
- 9.20 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.21 The ACCC may approve any proposal by, or alternatively may direct, Nitro to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.
- 9.22 If clause 9.19, 9.20 or 9.21 applies, Nitro must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 9.11 applies.

10 Failure to divest the Divestiture Business within the Initial Sale Period

In the event that the divestiture of the Divestiture Business to an Approved Purchaser is not completed by the end of the Initial Sale Period, the Divestiture Business becomes an unsold business and the provisions of Schedule 6 apply (**Unsold Business**).

11 Information

- 11.1 Nitro must notify the ACCC and each Undertaking Appointment in writing of the proposed date of each of the following events at least five Business Days before each is proposed to occur:
- (a) the Control Date; and
 - (b) the completion of the divestiture of the Divestiture Business.
- 11.2 Nitro must notify the ACCC and each Undertaking Appointment in writing of the occurrence of each of the following events within one Business Day after the date the event occurs:
- (a) the Control Date; and
 - (b) the completion of the divestiture of the Divestiture Business.
- 11.3 ACCC may direct Nitro in respect of its compliance with this Undertaking to, and Nitro must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;



- (b) produce documents and materials to the ACCC within Nitro's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 11.4 Any direction made by the ACCC under clause 11.3 will be notified to Nitro, in accordance with clause 16.2.
- 11.5 In respect of Nitro's compliance with this Undertaking or an Undertaking Appointment's compliance with its Approved Terms of Appointment, the ACCC may request any Undertaking Appointment to:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 11.6 Nitro will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 11.5.
- 11.7 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 11 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 11.8 The ACCC may in its discretion to be exercised in good faith:
 - (a) advise any Undertaking Appointment of any request made by it under this clause 11; and/or
 - (b) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 11.
- 11.9 Nothing in this clause 11 requires the provision of information or documents in respect of which Nitro has a claim of legal professional or other privilege.

12 Disclosure of this Undertaking

- 12.1 Nitro and the ACCC agree that:
 - (a) Parts of Schedule 4 will remain confidential until after the completion of the divestiture of the Divestiture Business; and
 - (b) Confidential Schedules 5 and 7 will remain confidential at all times.
- 12.2 Nitro acknowledges that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking which includes unredacted versions of Schedule 4 and Confidential Schedules 5 and 7.
- 12.3 Nitro acknowledges that the ACCC may, subject to clause 12.1:
 - (a) make this Undertaking publicly available; and
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (c) from time to time publicly refer to this Undertaking.



- 12.4 Subject to clause 12.6, nothing in clause 12.1 or the confidential parts of this Undertaking referred to in clause 12.1 prevents the ACCC from disclosing such information as is:
- (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 12.5 Subject to clause 12.6, nothing in clause 12.1 or the confidential parts of this Undertaking referred to in clause 12.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.
- 12.6 Nitro and the ACCC agree that Confidential Schedule 5 will not be disclosed for the purpose of making market inquiries.

13 Obligation to cause

- 13.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Nitro to take or refrain from taking some action, Nitro will cause that Related Body Corporate to take or refrain from taking that action, as the case may be.

14 No Derogation

- 14.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Nitro of any term of this Undertaking.
- 14.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Nitro does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

15 Costs

- 15.1 Nitro must pay all of its own costs incurred in relation to this Undertaking.

16 Notices

Giving Notices

- 16.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:
- Email address: mergers@accc.gov.au
- Attention: Executive General Manager



Mergers and Adjudication Group

With a copy sent to:

mergersucu@accc.gov.au

Director, Undertaking Compliance Unit

Coordination and Strategy Branch

Mergers and Adjudication Group

16.2 Any notice or communication to Nitro pursuant to this Undertaking must be sent to:

Name: Company Secretary

Address: Level 22, 135 King Street, Sydney

Email Address: michael.ryan@au.brookfield.com

Fax number: 02 9692 2899

Attention: Michael Ryan

16.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

16.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

16.5 Nitro must notify the ACCC of a change to its contact details within three Business Days.

16.6 The ACCC must notify Nitro of a change to its contact details within three Business Days.

16.7 Any notice or communication will be sent to the most recently advised contact details and subject to clauses 16.3 and 16.4, will be taken to be received.

17 Defined terms and interpretation

Definitions in the Dictionary

17.1 A term or expression starting with a capital letter:

(a) which is defined in the Dictionary in Part 1 of Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or

(b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

17.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.



Executed as an Undertaking

Executed by Nitro Holdings No 1 Pty Ltd (ACN 608 022 260) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

Signature of a director/company secretary

Name of director (print)

Name of director/company secretary (print)

Date

Date

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* on:

Date

And signed on behalf of the Commission:

Chairman

Date



Schedule 1

1 Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010* (Cth).

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 9.13(d), by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Business Sale Agreement means the standard form contract for the divestiture of the Unsold Business which has been approved by the ACCC in accordance with the terms of this Undertaking.

Approved Divestiture Agent means the person appointed under clause 13 of Schedule 6.

Approved Independent Auditor means the person appointed under clause 9.12 of this Undertaking.

Approved Independent Manager means the person appointed under clause 8.12 of this Undertaking.

Approved Interim Supply Agreement means any agreement approved as such by the ACCC in accordance with the terms of this Undertaking.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 14(k) of Schedule 6, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Business.

Approved Purchaser means the person approved by the ACCC under clause 6.4 of this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Purchaser will acquire the Divestiture Business from Nitro.

Approved Separation and Management Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause 8.13(i) of this Undertaking, by which the Approved Independent Manager will:

- (a) separate the Divestiture Business from any business to be retained by Nitro;
and
- (b) manage and operate the Divestiture Business independently of Nitro and any retained business.

Approved Technical Assistance Agreement means any agreement approved as such by the ACCC in accordance with the terms of this Undertaking.



Approved Terms of Appointment means the terms of appointment for the Approved Independent Manager, Approved Independent Auditor or Approved Divestiture Agent, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

Asciano means Asciano Limited (ACN 123 652 862).

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given to it in clause 9.15 of this Undertaking.

Bidder's Statement means the Bidder's Statement lodged with ASIC and the ASX on behalf of Nitro Corporation on 23 November 2015.

Binding Offer means the off-market takeover bid by Nitro Corporation to acquire all of the ordinary shares in Asciano that it does not presently own, on the terms and conditions set out in section 12.1 of the Bidder's Statement.

BAM has the meaning given to it in clause 2.1 of this Undertaking.

BIP has the meaning given to it in clause 2.2 of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Cessation Date has the meaning given to it in clause 4.5 of this Undertaking.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Control Date means the date on which Nitro Corporation declares the Binding Offer to be unconditional.

Consents means any Government Consents or Third Party Consents.

Corporations Act means the *Corporations Act 2001* (Cth).

DBCT has the meaning given to it in clause 2.3(b) of this Undertaking.

Divestiture Business means the assets described as such in Schedule 4 to this Undertaking but does not include the Excluded Business as defined in Schedule 4 to this Undertaking.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Establishment Audit has the meaning given to it in clause 9.16(a) of this Undertaking.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the conduct of the Divestiture Business.

Initial Sale Period is defined in Confidential Schedule 5 to this Undertaking.

Material Change means any change to the structure, attributes, extent or operations of the Divestiture Business or product or service sold by a Divestiture Business that may affect, or impact on, the competitiveness of the Divestiture Business.

Material Contract means any Agreement that is necessary for the operation of the Divestiture Business.

Nitro means Nitro Holdings No 1 Pty Ltd (ACN 608 022 260).

Nitro Corporation means Nitro Corporation Pty Ltd (ACN 607 605 701)

Proposed Acquisition is defined in clause 2.6 of this Undertaking.

Proposed Divestiture Agent means a person named in a Proposed Divestiture Notice.

Proposed Divestiture Agent Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Divestiture Agent.



Proposed Independent Auditor means a person named in Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Auditor.

Proposed Independent Manager means a person named in a Proposed Independent Manager Notice.

Proposed Independent Manager Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Manager.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice means a completed notice in the form of Schedule 2 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Purchaser.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Technical Assistance includes advising on technical knowledge documentation, supporting the Approved Purchaser on acquiring specific assets necessary for the ongoing conduct of the Divestiture Business, providing staff with suitable experience and skills to assist and/or advice on technical issues, assisting in training for the Approved Purchaser's staff, and providing guidance on regulatory and legal aspects relating to the transfer of or application for licences.

Third Party Consents means any consent from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the conduct of the Divestiture Business.

Transferred Personnel has the meaning given to it in clause 5.6 of this Undertaking.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Independent Manager, the Approved Independent Auditor or the Approved Divestiture Agent, as applicable.

Unsold Business has the meaning given to it in clause 10 of this Undertaking.

2 Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;



- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function



under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;

- (p) in performing its obligations under this Undertaking, Nitro will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.



Schedule 2

Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice – Section 87B undertaking in respect of Nitro Corporation's acquisition of Asciano

Address: mergers@accc.gov.au

Attention: Executive General Manager - Mergers and Adjudication Group

With an email copy sent to:

Address: mergersucu@accc.gov.au

Attention: Director, Undertaking Compliance Unit Merger Coordination and Strategy Branch

1. In relation to the Proposed Purchaser, please provide the following information:
 - (a) Name of the Proposed Purchaser:
 - (b) Address:
 - (c) Contact name:
 - (d) Telephone number:
 - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
 - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business.
 - (b) details of the Proposed Purchaser's experience in the relevant market/s.
 - (c) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Purchaser.
 - (d) a section addressing the factors set out in clause 6.5 of this Undertaking, including any information adverse to the Proposed Purchaser, in the power, possession or control of Nitro.
 - (e) details of any of the following types of relationships between Nitro and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Nitro and the Proposed Purchaser are Associated Entities;
 - (ii) Nitro is an Entity Connected with the Proposed Purchaser;
 - (iii) the Proposed Purchaser is an Entity Connected with Nitro;



- (iv) Nitro and the Proposed Purchaser are Related Entities;
- (v) Nitro and the Proposed Purchaser are Related Parties;
- (vi) any Related Party, Related Entity or Entity Connected with Nitro is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
- (vii) Nitro and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
- (viii) the Proposed Purchaser is a supplier of Nitro or has been in the past three years;
- (ix) Nitro is a supplier of the Proposed Purchaser or has been in the past three years; and
- (x) any other relationship between Nitro and the Proposed Purchaser that allows one to affect the business decisions of the other.

3. Please also attach to this form:

- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking.
- (b) the finalised draft of any technical assistance agreement for approval by the ACCC in accordance with this Undertaking.
- (c) the finalised draft of any interim supply agreement for approval by the ACCC in accordance with this Undertaking.
- (d) any documents required to support the information provided by Nitro pursuant to this form.



Schedule 3

Undertaking Appointment

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- (a) Independent Manager; or
- (b) Independent Auditor; or
- (c) Divestiture Agent;

(the **Undertaking Appointments**).

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line:

Proposed [only include relevant Undertaking Appointment i.e. Independent Auditor/Divestiture Agent/Independent Manager] Form – Section 87B undertaking in respect of Nitro Corporation's acquisition of Asciano

to the below email addresses:

mergers@accc.gov.au

Attention: Executive General Manager

Mergers and Adjudication Group

With a copy sent to:

mergersucu@accc.gov.au

Attention: Director

Undertaking Compliance Unit

Coordination and Strategy Branch

Mergers and Adjudication Group

Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor, Divestiture Agent or Independent Manager (i.e. the relevant undertaking appointment).

1. Proposed Undertaking Appointment Details:
 - (a) the name of the proposed Undertaking Appointment; and
 - (b) the name of the proposed Undertaking Appointment's employer and contact details including:
 - (i) Address;



- (ii) Contact name;
 - (iii) Telephone number;
 - (iv) Other contact details.
- 2. A submission containing the following information:
 - (a) details of [Undertaking Appointment]'s qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
 - (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer].
 - (c) details of any of the following types of relationships between Nitro and [the Undertaking Appointment] or [the Undertaking Appointment's employer] or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Nitro and [the Undertaking Appointment's employer] are Associated Entities.
 - (ii) Nitro is an Entity Connected with [the Undertaking Appointment's employer].
 - (iii) [the Undertaking Appointment's employer] is an Entity Connected with Nitro.
 - (iv) Nitro and [the Undertaking Appointment's employer] are Related Entities.
 - (v) Nitro and [the Undertaking Appointment's employer] are Related Parties.
 - (vi) any Related Party, Related Entity or Entity Connected with Nitro is a Related Party, Related Entity or Entity Connected with [the Undertaking Appointment].
 - (vii) Nitro and [the Undertaking Appointment] or [the Undertaking Appointment's employer] have a contractual relationship or had one within the past three years, other than those attached to this form.
 - (viii) [the Undertaking Appointment's employer] is a supplier of Nitro or has been in the past three years.
 - (ix) Nitro is a supplier of the [the Undertaking Appointment's employer] or has been in the past three years.
 - (x) any other relationship between Nitro and [the Undertaking Appointment] or [the Undertaking Appointment's employer] that allows one to affect the business decisions of the other.
- 3. A document outlining the terms of appointment for the proposed Undertaking Appointment.

Specific Information required for Undertaking Appointments

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

Proposed Independent Auditor

The finalised draft audit plan for the Divestiture Business, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the Establishment Audit and the Audit Report.



Proposed Divestiture Agent

The finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with Nitro. The draft business sale agreement is to provide for the divestiture of the Unsold Business.

The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Business.

Proposed Independent Manager

The finalised draft separation and management plan for the Divestiture Business detailing the measures and timing to be implemented by Nitro and the Approved Independent Manager in order to fulfil Nitro's and the Approved Independent Manager's obligations pursuant to this Undertaking. This plan is to be drafted by the Proposed Independent Manager in consultation with Nitro to achieve the objectives of the Undertaking including:

- (a) the intended mode of operation of the Divestiture Business until completion of its divestiture;
- (b) separation measures to ensure the Divestiture Business is operated in a manner which is financially and operationally separate from Nitro, including the:
 - (i) separation of the books and records of the Divestiture Business from those of Nitro;
 - (ii) severance of the Divestiture Business's participation in any private shared information technology networks, to the extent possible without compromising the viability of the Divestiture Business;
 - (iii) implementation of specific electronic, information and physical security measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Business; and
 - (iv) severance of arrangements to share personnel and plant between the Divestiture Business and any businesses to be retained by Nitro, to the extent possible without compromising the viability of the Divestiture Business;
- (c) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the completion of the divestiture of the Divestiture Business to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms favourable to the Divestiture Business;
- (d) personnel planning to maintain appropriate personnel levels and ensure that the Divestiture Business has access to all personnel necessary to operate the Divestiture Business;
- (e) any Material Changes to the Divestiture Business required in order to fulfil Nitro's and the Approved Independent Manager's obligations pursuant to the Undertaking;
- (f) the cooperation required from the Independent Manager with Nitro in relation to the divestiture of the Divestiture Business, including:
 - (i) the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Divestiture Business will be managed;

- (ii) the method by which the Independent Manager and Nitro will preserve the confidentiality of the Divestiture Business's competitively sensitive information from Nitro and its advisers throughout this process; and
- (iii) a protocol whereby the Approved Independent Manager can provide any information requested by Nitro without disclosing the details of the Divestiture Business's competitively sensitive information to Nitro.



Schedule 4

Outline of services

Intermodal Freight Services means the following services provided by Pacific National:

1. super-freighter services, being services to transport principally containerised freight by rail, with the option for containers to be double-stacked on well wagons and in respect of which the key customer group comprises freight-forwarders;
2. express services, being services to transport containerised freight by rail with shorter transit times than super-freighter services, without containers being double-stacked on wagons and in respect of which the key customer group comprises freight-forwarders. Certain express services extend to the on-road leg of the haul, by way of a pick-up and delivery service;
3. services for the transportation of automobiles by rail, being both containerised and 'drive-on, drive-off' and in respect of which the key customer group comprises automobile distributors;
4. services for the transportation of steel by rail, in respect of which the key customer group comprises steel manufacturers;
5. hook and pull services, being rail services whereby the customer provides the wagons and Pacific National provides the locomotives and the crew or just the crew (in each case, along with the benefit of Pacific National's rail operator accreditation for the conduct of those services) and in respect of which the key customer group includes passenger service providers; and
6. port shuttle services, being services to transport containers by rail to and from port terminals.

Definition of Divestiture Business

Divestiture Business means the items listed below:

Plant and equipment

1. The 181 locomotives used by Pacific National to provide the Intermodal Freight Services identified in Annexure A to this Schedule 4 (the **Intermodal Locomotives**), including all spares and parts for the Intermodal Locomotives.
2. The 3,492 wagons used by Pacific National to provide the Intermodal Freight Services identified in Annexure B to this Schedule 4 (the **Intermodal Wagons**, and together with the Intermodal Locomotives, the **Intermodal Rolling Stock**), including all spares and parts for the Intermodal Wagons.
3. The 405 trailers used by Pacific National to provide the on-road leg of certain express services forming part of the Intermodal Freight Services.
4. The 714 containers (comprising 561 owned containers and 153 leased containers) used by Pacific National to provide the Intermodal Freight Services (the **Intermodal Containers**) including, in respect of leased containers, the relevant lease agreements to the extent that they relate to the leasing of the



Intermodal Containers (but not to the extent that they relate to the leasing of containers other than the Intermodal Containers).

Sites

5. The following terminals, depots and maintenance facilities (or contracts for the use of or access to the following terminals, depots and maintenance facilities) associated with the provision by Pacific National of the Intermodal Freight Services.

Terminal, depot or maintenance facility	Address	Lease or title particulars or Details of relevant contract(s)
Sydney Freight Terminal, NSW	20 Dasea Street, Chullora, NSW	Freehold
Port Kembla South Yard, NSW	South Yard Rail Sidings, Port Kembla, NSW	Leasehold
Parkes Driver Depot, NSW	Units 2-4, 71 May Street, Parkes, NSW	Leasehold
Broken Hill Terminal, NSW	Railway Yards, Crystal Street, Broken Hill, NSW	Leasehold
Junee Depot, NSW	Lorne Street, Junee, NSW	Freehold
Melbourne Freight Terminal, VIC (including the wagon maintenance facility)	Dynon Road, Footscray, VIC	Leasehold



Terminal, depot or maintenance facility	Address	Lease or title particulars <i>or</i> Details of relevant contract(s)
Spotswood Locomotive Maintenance Facility, VIC	561-569 Melbourne Road, Spotswood, VIC	Leasehold
Dimboola Depot, VIC	Dimboola Railway Station, Dimboola, VIC	Leasehold
Perth Freight Terminal, WA	4 Fenton Street, Kewdale, WA	Leasehold
Kalgoorlie Driver Depot, WA	229 Dugan Street, Kalgoorlie, WA	Leasehold
Adelaide Freight Terminal, SA	Pedder Crescent, Regency Park, SA	Freehold
Cook Depot, SA	Cook, SA	Freehold



Terminal, depot or maintenance facility	Address	Lease or title particulars or Details of relevant contract(s)
Port Augusta Drivers' Depot, SA	120 Daniel Terrace, Port Augusta, SA	Leasehold
Brisbane Freight Terminal (Acacia Ridge), QLD	Acacia Ridge, QLD	Relevant contract:
Tennyson Freight Terminal, QLD	75 Curzon Street, Yeerongpilly, QLD	Freehold
Rockhampton Freight Terminal, QLD	Goss Street, Rockhampton, QLD	Freehold
Mackay Freight Terminal, QLD	30 Michelmore Street, Mackay, QLD	Freehold
Townsville Freight Terminal, QLD (being the intermodal terminal and the locomotive and wagon maintenance facility only, and not including the bulk terminal)	Relevant part of 93- 111 Hunter Street, Stuart, QLD	Freehold



Terminal, depot or maintenance facility	Address	Lease or title particulars
		or Details of relevant contract(s)
Cairns Freight Terminal, QLD	Jackson Drive, Cairns, QLD	Freehold
Alice Springs Depot, NT	Alice Springs, NT	Relevant contract:

6. The refuelling facilities that are dedicated to the provision of the Intermodal Freight Services, as identified below:
- (a) Chullora, NSW (Loco Provisioning Centre, Dasea Street, Chullora)
 - (b) Port Kembla Outer Harbour, NSW (Old Port Road, Port Kembla)
 - (c) Bluescope Rail, NSW (Bluescope Yard, Old Port Road, Port Kembla)
 - (d) Mackay, QLD (Len Shield St, Mackay)
 - (e) Townsville, QLD (Partington Yard, Cnr of Hunter St and Bruce Highway)
 - (f) Tennyson, QLD (PNQ Moolabin Fuel Facility, Lofter Street, Tennyson)
 - (g) Keswick, SA (Keswick Rail Yard, Adelaide)
 - (h) Port Augusta, SA (120 Daniel Terrace, Port Augusta)
 - (i) Regency Park, SA (Pedder Crescent, Regency Park)
 - (j) Adelaide, SA (Adelaide Terminal Equipment, Pedder Crescent, Regency Park)
 - (j) MFT, VIC (Loco Provisioning Centre, Docklinks, Footscray)
 - (k) Parkston, WA (229 Dugan Street, Kalgoorlie)
 - (l) Kewdale, WA (Loco Provisioning Centre, Fenton Street, Kewdale)
 - (m) Darwin, NT (Darwin Rail Yard, PNL Fuel Facility)
7. The Dulwich, SA intermodal rail control centre that is occupied under the lease of 182 Fullarton Road, Dulwich, SA between Asciano Services Pty Ltd and Andel Holdings Pty Ltd.

Customers

8. All customer contracts (including goodwill) for the provision by Pacific National of the Intermodal Freight Services.



Access – dedicated to intermodal

9. All below rail access agreements in respect of which the below rail access is dedicated to the provision by Pacific National of the Intermodal Freight Services (and is not allocated to the provision of other services).

Access – not dedicated to intermodal

10. Below rail access agreements to the extent that the below rail access is allocated to the provision by Pacific National of the Intermodal Freight Services (but not to the extent that the below rail access is allocated to the provision of other services).

Suppliers – dedicated to intermodal

11. Supplier contracts for the provision of maintenance services in respect of the Intermodal Rolling Stock.
12. Supplier contracts for the supply of locomotives and wagons for the Intermodal Freight Services.
13. Other supplier or service contracts for the Intermodal Freight Services.



Suppliers – not dedicated to intermodal

14. Supplier contracts to the extent that they relate to the provision of maintenance services in respect of the Intermodal Rolling Stock (but not to the extent that they relate to the provision of maintenance services in respect of locomotives and wagons other than the Intermodal Rolling Stock).

15. Other supplier or service contracts to the extent that they are for the Intermodal Freight Services (but not to the extent that they are for services other than the Intermodal Freight Services).

Records

16. Business records to the extent they relate to the Intermodal Freight Services.

Employees

17. Employees engaged under employment contracts dedicated to the Intermodal Freight Services, including employees engaged under the following collective agreements:
 - (a) Pacific National Intermodal Division – Outsourced Projects Enterprise Agreement, 2014



- (b) Pacific National Intermodal Train Crew Enterprise Agreement, 2013
- (c) Pacific National Intermodal Division – Terminal Operations Enterprise Agreement, 2012
- (d) Pacific National Queensland Intermodal Enterprise Agreement, 2011

Arrangements to be put in place as part of separation planning – Divestiture Business as the recipient

- 18. Interim licence (to be approved by the ACCC) to use the Pacific National safety management system in respect of the Intermodal Freight Services, which system will be required by the Divestiture Business for rail safety accreditation purposes, made or to be made between an entity representing the Divestiture Business (as licensee) and an entity representing the remainder of Pacific National (as licensor).
- 19. Interim agreement (to be approved by the ACCC) for the provision of technical assistance in respect of obtaining rail safety accreditations for the provision of the Intermodal Freight Services made or to be made between an entity representing the Divestiture Business (as customer) and an entity representing the remainder of Pacific National (as service provider).
- 20. Interim licence and service agreement (to be approved by the ACCC) for access to and use of the Pacific National train management system in respect of the Intermodal Freight Services made or to be made between an entity representing the Divestiture Business (as licensee) and an entity representing the remainder of Pacific National (as licensor).
- 21. Interim agreement(s) (to be approved by the ACCC) for the supply of fuel and lubricants for the Intermodal Freight Services made or to be made between an entity representing the Divestiture Business (as customer) and an entity representing the remainder of Asciano's business (as supplier).
- 22. Interim agreement(s) (to be approved by the ACCC) for the provision of services comprising the following back-office functions and teams:
 - (a) information technology;
 - (b) human resources, including recruitment and payroll; and
 - (c) finance, including accounts payable,made or to be made between an entity representing the Divestiture Business (as customer) and an entity representing the remainder of Asciano's business (as supplier).
- 23. Interim licence (to be approved by the ACCC) to use the Pacific National brand (together with associated or derivative brands, to the extent relevant to the operation of the Intermodal Freight Services) in connection with the offering and operation of the Intermodal Freight Services made or to be made between an entity representing the Divestiture Business (as licensee) and an entity representing the remainder of Pacific National (as licensor).
- 24. Interim agreement for access to and use of the following fuelling facilities in connection with the operation of the Intermodal Freight Services made or to be made between an entity representing the Divestiture Business (as customer) and an entity representing the remainder of Pacific National (as access provider):
 - (a) Port Waratah, NSW ('direct into locomotive' fuelling point)
 - (b) Kanandah, NSW (Railway Yards, Broken Hill)



25. Agreements providing for the continued use of motor vehicles, including owned and leased motor vehicles, that are dedicated to the operation of the Intermodal Freight Services.

Arrangements to be put in place as part of separation planning – Divestiture Business as the provider

26. Contract(s) for the maintenance of bulk locomotives and wagons at the Melbourne Freight Terminal, the Townsville Freight Terminal and the Spotswood Locomotive Maintenance Facility made or to be made between an entity representing the Divestiture Business (as service provider) and an entity representing the remainder of Pacific National (as customer).
27. Contract(s) permitting access to and use of the depot facilities at the Junee Driver Depot and the Dimboola Driver Depot made or to be made between an entity representing the Divestiture Business (as access provider) and an entity representing the remainder of Pacific National (as customer).
28. Contract(s) permitting access to and use of the Townsville refuelling facility made or to be made between an entity representing the Divestiture Business (as access provider) and an entity representing the remainder of Pacific National (as customer).
29. Contract(s) for the provision of port shuttle services in respect of Port Botany and Port of Brisbane made or to be made between an entity representing the Divestiture Business (as service provider) and an entity or entities representing Patrick and the ACFS Logistics Joint Venture (as customer).
30. Contract(s) for rail haulage, to and from Australian ports, of goods for customers of Patrick made or to be made between an entity representing the Divestiture Business (as service provider) and an entity or entities representing Patrick (as customer), including in respect of:
- (a) the rail haulage known as 'rural and regional'; and
 - (b) the rail haulage between Port of Melbourne and Port of Adelaide known as the 'port link service'.

Definition of Excluded Business

Excluded Business means, for the avoidance of doubt and without limitation, the items listed below:

1. Locomotives and wagons for the transportation of minerals, concentrates or grain (which, for the avoidance of doubt, does not include the Intermodal Rolling Stock) (**Bulk Rolling Stock**).
2. Spares and parts for Bulk Rolling Stock.
3. Broad-gauge locomotives and wagons for the provision of containerised rail haulage services in rural Victoria (which, for the avoidance of doubt, does not include the Intermodal Rolling Stock) (**Broad Gauge Rolling Stock**).
4. Spares and parts for Broad Gauge Rolling Stock.
5. Locomotives and wagons that are neither Intermodal Rolling Stock, Bulk Rolling Stock nor Broad Gauge Rolling Stock (**Other Rolling Stock**).
6. Spares and parts for Other Rolling Stock.



7. The Appleton Dock, VIC site
8. Rail safety accreditations.
9. Ownership of Pacific National's safety management system, including all intellectual property therein.
10. Ownership of Pacific National's train management system, including all intellectual property therein.
11. Ownership of the Pacific National brand (together with associated or derivative brands), including all intellectual property therein.
12. Insurance policies, whether or not they presently extend to the Intermodal Freight Services or the items listed under the above definition of the Divestiture Business.



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Confidential Schedule 5

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Schedule 6

Approved Divestiture Agent

Obligation to appoint an Approved Divestiture Agent

1. From the end of the Initial Sale Period, Nitro must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Business.
2. Without limiting its obligations in this Undertaking, Nitro must from the end of the Initial Sale Period:
 - (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
 - (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
 - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent; and
 - (iii) paying such fees as are agreed between the Approved Divestiture Agent and Nitro (but not fees contingent on the price to be obtained for the Unsold Business), provided that if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Nitro within 15 Business Days after the end of the Initial Sale Period, Nitro agrees to pay such fees as are directed by the ACCC;
 - (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (i) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this Schedule 6;
 - (ii) providing access to the facilities, sites or operations of the Unsold Business as required by the Approved Divestiture Agent; and
 - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance requested by the Approved Divestiture Agent that he or she considers necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;



- (d) within three Business Days after receiving notice from the ACCC pursuant to clause 6.4, Nitro must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Business to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 6.4(a); and
- (e) other than in accordance with clause 2(d) of this Schedule 6, not instruct the Approved Divestiture Agent to divest the Unsold Business.

Approval of the Approved Divestiture Agent

- 3. At least 15 Business Days prior to the end of the Initial Sale Period, if the divestiture of the Divestiture Business has not been completed, Nitro must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**).
- 4. After receiving a Proposed Divestiture Agent Notice, the ACCC must decide whether to:
 - (a) approve the appointment of the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent which includes approving the:
 - (i) terms of appointment attached to the Proposed Divestiture Agent Notice;
 - (ii) draft business sale agreement attached to the Proposed Divestiture Agent Notice; and
 - (iii) draft marketing and sale plan attached to the Proposed Divestiture Agent Notice; or
 - (b) not approve the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent.
- 5. If clause 4(b) of this Schedule 6 applies, the ACCC may, at its absolute discretion:
 - (a) direct Nitro to submit a Proposed Divestiture Agent Notice that:
 - (i) names a person identified by the ACCC as the Proposed Divestiture Agent; and/or
 - (ii) includes attachments that:
 - (A) relate to the person identified by the ACCC under clause 5(a)(i) of this Schedule 6 (if applicable); and/or
 - (B) address any issues identified by the ACCC in relation to the terms of appointment, draft business sale agreement, and/or draft marketing and sale plan; or
 - (b) identify and approve a person as the Approved Divestiture Agent together with the:
 - (i) terms of appointment;
 - (ii) draft business sale agreement; and/or
 - (iii) draft marketing and sale plan.
- 6. As soon as practicable, and within two Business Days after any direction by the ACCC under clause 5(a) of this Schedule 6, Nitro must submit a Proposed Divestiture Agent Notice in accordance with the direction.



7. Without limiting the ACCC's discretion, in making the decisions described in clause 4 or 5 of this Schedule 6, the factors to which the ACCC may have regard include whether the:
 - (a) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (b) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Nitro;
 - (c) terms of appointment, draft business sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
 - (d) terms of appointment, draft business sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.
8. Within 10 Business Days after receiving a Proposed Divestiture Agent Notice, the ACCC must notify Nitro in writing of its decisions and any direction made pursuant to clause 4 and/or 5 of this Schedule 6.
9. The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 8 of this Schedule 6 by notifying Nitro in writing of the extension within 10 Business Days after receiving the Proposed Divestiture Agent Notice.
10. Any extension of time by the ACCC under clause 9 of this Schedule 6 extends the Initial Sale Period by the same length of time.
11. If the Approved Divestiture Agent has not been appointed:
 - (a) within 10 Business Days after the Divestiture Business becomes an Unsold Business;
 - (b) within 17 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 17, 18 or 19 of this Schedule 6,or if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 20 of this Schedule 6, then the provisions of clause 12 of this Schedule 6 apply.
12. If clause 11 of this Schedule 6 applies, the ACCC may, at its absolute discretion:
 - (a) identify and approve a person as the Approved Divestiture Agent;
 - (b) approve the terms of appointment of the Approved Divestiture Agent;
 - (c) approve the draft business sale agreement; and
 - (d) approve the draft marketing and sale plan.

Appointment of the Approved Divestiture Agent

13. After receiving notice from the ACCC of its decisions pursuant to clause 4, 5(b) or 12 of this Schedule 6, Nitro must within two Business Days:
 - (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

Obligations and powers of the Approved Divestiture Agent



14. Nitro must ensure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Independent Divestiture Agent to:
- (a) maintain his or her independence from Nitro, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nitro for the period of his or her appointment;
 - (b) not use any confidential information gained through the divestiture of the Unsold Business other than for performing his or her functions as Approved Divestiture Agent;
 - (c) follow the Approved Marketing and Sale Plan;
 - (d) divest the Unsold Business only to an Approved Purchaser, with no obligation imposed by Nitro to achieve a divestiture at a minimum price;
 - (e) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Business as quickly as possible using the Approved Business Sale Agreement;
 - (f) co-operate with the requests of any Approved Independent Manager or Approved Independent Auditor appointed pursuant to this Undertaking;
 - (g) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - (i) information regarding the implementation of the Approved Business Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
 - (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 15(d) of this Schedule 6;
 - (v) the efforts made to sell the Unsold Business;
 - (vi) the identity of any advisers engaged;
 - (vii) the identity of any persons expressing interest in the Unsold Business; and
 - (viii) any other information required by the ACCC;
 - (h) within 30 Business Days after the completion of the divestiture of the Unsold Business, provide a written report directly to the ACCC which includes a final accounting of:
 - (i) any moneys derived from the divestiture of the Unsold Business;



- (ii) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
 - (iii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 15(d) of this Schedule 6;
 - (i) immediately inform the ACCC of:
 - (i) any issues that arise in relation to the implementation of the Approved Sale and Purchase Agreement and any Approved Marketing and Sale Plan;
 - (ii) non-compliance with this Undertaking by any person named in this Undertaking;
 - (iii) any offers for the Unsold Business;
 - (j) accept any offer for the Unsold Business upon instruction from Nitro given in accordance with clause 2(d) of this Schedule 6; and
 - (k) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
15. Nitro must ensure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (a) negotiate with purchasers to divest the Unsold Business on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
 - (b) execute any agreements with the Approved Purchaser required pursuant to clause 6.4;
 - (c) upon instruction pursuant to clause 2(d) of this Schedule 6, complete the divestiture of the Unsold Business to the Approved Purchaser in accordance with the Approved Business Sale Agreement; and
 - (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
16. Any irrevocable power of attorney granted pursuant to clause 15 of this Schedule 6 will end upon resignation or termination of the Approved Divestiture Agent in accordance with clauses 17, 18 and 19 of this Schedule 6, or in the event that the Unsold Business is divested in accordance with this Undertaking.

Resignation, revocation or termination of the Approved Divestiture Agent

- 17. Nitro must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Business.
- 18. The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 19. The ACCC may approve any proposal by, or alternatively may direct, Nitro to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.



20. If clause 17, 18 or 19 of this Schedule 6 applies then Nitro must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days, otherwise clause 12 of this Schedule 6 applies.



Confidential Schedule 7

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HERBERT
SMITH
FREEHILLS

Public
18 December 2015